The European Central Bank meeting on 29 October is not expected to result in an interest rate hike. Instead, the French crisis is increasingly eroding the need for additional rate hikes



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for longer and core inflation expected to increase in 2027, the stage seemed set for at least one more rate hike at the December meeting. Some even speculated about a back-to-back increase in October.

One month later, and after a severe fiscal and political crisis in France, the ECB is unlikely to repeat the hawkish tone at next week's meeting. At face value, macro developments since the last meeting would still justify another rate hike. Headline inflation increased again in September and most leading indicators point to continued resilience in the eurozone economy. However, the surge in bond

yields on the back of the French crisis is already imposing a new restrictive monetary policy stance. In fact, the surge in German bond yields since the September meeting has already had roughly the same impact on growth and inflation as an additional 25bp rate hike. For France, it's closer to a 50bp hike. Or in other words, the bond market has taken over the ECB's job.

All of this means that the ECB is very likely to stay on hold next week and will delay any next rate hike decision to December. This is when new staff projections will be available and when there will also be more insights into whether higher energy prices will eventually bring knock-on effects on the rest of the economy or

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next week, it will be an important element at the press conference. Political and fiscal concerns in France, and the resulting widening in French spreads, have raised questions about whether the ECB could intervene through the Transmission Protection Instrument (TPI), which allows it to purchase securities issued by member states whose financing conditions have deteriorated for reasons not justified by country-specific fundamentals. However, before activating it, the Governing Council considers a cumulative set of criteria to determine whether the countries concerned are pursuing sound and sustainable fiscal and macroeconomic policies. In practice, this includes compliance with the EU fiscal framework,

which would, at a minimum, require the proposed French budget to be fully adopted.

The ECB has nevertheless left itself some discretion, stating that the intervention criteria “will be dynamically adjusted to the unfolding risks and conditions to be addressed”. This brings back memories of the famous “because it’s France” by former European Commission President Jean-Claude Juncker. Generally speaking, the ECB will be in a difficult position: intervening too quickly in support of France may be viewed unfavourably by other member states and interpreted as monetary financing of the debt of a country unwilling to follow the rules. That argues strongly against early

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notably, which will slow growth and reduce pass-through by more than projected in our September exercise".

2. The second line of defence would be a covert return to bond purchases. The ECB could instead pause quantitative tightening temporarily and reinvest maturing bonds in its portfolio 'flexibly', sending a positive signal to bond markets. This had already happened during the Covid period.
3. Last but not least, should contagion in eurozone bond markets intensify, we expect the ECB to eventually trigger the TPI. As long as France remains non-compliant with the European fiscal

rules, the ECB might even consider purchasing bonds from almost all eurozone countries, except for France.

All in all, next week's ECB meeting looks set to be uneventful on action but clearly not on words.

Monetary Policy | Inflation | GDP | Eurozone | ECB

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